

13 Emergency Club Closures and Payroll Funding Shortfall

Document PLNT-13 | Available 2027-06-14, 10 am New York time
Prepared by fictional borrower operations and treasury team | Borrower: Planet Fitness Demo Club Operator LLC

SYNTHETIC DEMO. This severe event is entirely invented for Planet Fitness Demo Club Operator LLC. It is not a real incident involving Planet Fitness, Inc.. There is no asserted affiliation or guarantee; all evidence IDs, figures and statements below are fictional.

E01 Incident and operating evidence

Engineering survey PLNT-ENG-0603, received June 3, documents failed roof connections at twelve of the fictional operator's twenty leased clubs. The same construction detail was present at all twelve sites. Management closed these clubs to public access on June 4 after receiving the engineer's written recommendation. Reopening requires remediation and an independent sign-off; contractors estimate at least eight weeks. There is no confirmed reopening date. The other eight clubs remain open.

The affected twelve clubs served 60,000 of the operator's 96,000 active, billable accounts at May 31. By June 11, 20,000 of the affected accounts had canceled and the other 40,000 were frozen with billing suspended. The unaffected clubs retained 36,000 billable accounts. Thus 96,000 opening accounts less 20,000 cancellations and 40,000 freezes equals 36,000 current billable accounts. Frozen accounts are not counted again as cancellations. These are June 1-11 observations, not finalized full-month attrition or collection rates.

The sites remain leased and require security, minimum staffing and remedial work while closed. This structural incident is separate from the five-club ventilation and water-damage repairs completed in May. No earlier repair cost or equipment invoice is charged a second time.

Observed scale

Measure	Verified scenario observation
Clubs closed to public access	12 of 20 = 60%
Accounts affected	60,000 of 96,000 = 62.50%
June 11 cancellations / freezes	20,000 canceled; 40,000 frozen
Remaining billable accounts	36,000; no confirmed reopening date

Bank and payment status

The June 11 bank statement shows \$1.1800m cleared deposits, of which the unchanged \$1.0000m reserve remains restricted. Only \$0.1800m is available for operating payments. Principal remains \$18.0m. The next payroll file requires \$1.2000m on June 15. Against cash currently available, the uncovered amount is \$1.0200m before other bills. The payroll is upcoming, not already paid or overdue as of this report.

The expected \$0.8000m landlord reimbursement is still scheduled for June 18, after that payroll date. The financial impact report and supporting bank record were delivered to the fictional lender portal June 14 at 10 am. No new finance or owner contribution is committed.

E02 Certified bank position - USD millions

The fictional Borrower CFO certifies this reconciliation as of 2027-06-14, using the bank statements for the exact dates shown. Each balance is cleared USD legally owned by the named Borrower. The certification covers all its bank accounts. Only the stated restricted reserve is unavailable; there is no additional pledged, blocked or third-party cash included in the freely available column.

Statement date	Total cleared bank cash	Restricted reserve	Freely available cash
2027-05-31	6.2000	1.0000	5.2000
2027-06-11	1.1800	1.0000	0.1800

The CFO and treasury controller confirmed that receivables, inventories, supplier advances, other entities' money and undrawn commitments are excluded. This is a signed-role attestation within the fictional simulation; no real person signs it. The certification does not state that the balance satisfies the credit agreement.

Actual cash movement ledger

This bridge begins with the last actual cash balance in report 12. It uses cleared receipts and payments rather than revenue, inventory or expected recoveries. Closing rows are subtotals, not additional cash movements.

Period or date	Cash movement / balance	Treasury record
2027-05-31	5.2000	Starting freely available cash from report 12
June 1-11	0.4000	Cleared dues, arrears and other receipts
June 1-11	-2.0200	Rent, payroll and essential operating payments
June 1-11	-3.4000	Emergency stabilization and contractor deposits
2027-06-11	0.1800	Latest freely available cash

Payment evidence PLNT-SITE-0611 supports the \$3.4m emergency disbursement. It is \$2.0m of completed stabilization work and \$1.4m of deposits against signed repair orders. The cash bridge includes both when paid without claiming that both are immediate accounting expenses. The separate \$1.2m equipment payment was already made May 28 and is embedded in starting cash. The \$0.8m reimbursement from the earlier repairs has not been received.

E03 Payment records and reproduced confirmations

The following records concern Planet Fitness Demo Club Operator LLC only. All excerpts are synthetic primary-record content reproduced inside this report; their reference IDs do not point to missing attachments. Each custodian's record date is on or before the report's availability date. Monetary ledger amounts are USD millions.

Obligation	Scheduled date	Amount due	Cash settled	Unsettled amount
May interest	2027-05-28	0.1350	0.1350	0.0000
June 15 payroll	2027-06-15	1.2000	0.0000	1.2000

The payroll controller locked file PLNT-PAYROLL-0615 at 4 pm June 11. It requires \$1.2m on June 15; no amount has been prefunded. This is an upcoming payroll item, not loan principal or an overdue interest installment. The May interest receipt was confirmed by Scenario Lender P01 and settled May 28.

Record PLNT-ENG-0603

Custodian and dating: fictional independent engineer; survey issued and received June 3. Material statement reproduced below from the fictional record.

"The twelve listed clubs must remain closed until structural repairs and independent sign-off are complete."

Record PLNT-PAYROLL-0615

Custodian and dating: borrower payroll controller; locked June 11; delivery confirmed June 14. Material statement reproduced below from the fictional record.

"Payroll of \$1,200,000 is scheduled for June 15, 2027; no funding has been transferred to the payroll account."

Record PLNT-LAND-0610

Custodian and dating: fictional landlord accounts team; issued and received June 10. Material statement reproduced below from the fictional record.

"The \$800,000 reimbursement is scheduled for June 18, 2027 and excludes the new structural incident."

Record PLNT-CLAIM-0611

Custodian and dating: borrower claims administrator; insurer correspondence checked through June 11. Material statement reproduced below from the fictional record.

"No insurer has accepted a payment amount or payment date for the structural loss."

E04 Underlying operating schedules

The records below provide the measured populations and accounting components behind the event. They are observations of the fictional Borrower, not an industry survey or another company's finances.

Fictional site group	Sites / status	May 31 billable	June 11 canceled	June 11 frozen	June 11 billable
CL01-CL08	8 / closed	40,000	13,336	26,664	0
CL09-CL12	4 / closed	20,000	6,664	13,336	0
CL13-CL20	8 / open	36,000	0	0	36,000
All clubs	20 total	96,000	20,000	40,000	36,000

Site register PLNT-SITES-0611 lists the twelve closed clubs individually as CL01 through CL12. Each had 5,000 billable accounts at May 31. The eight operating sites, CL13 through CL20, each had 4,500. The grouped table preserves those totals without exposing any real member records. No member appears at more than one club in this scenario.

The membership controller exported the June 11 roster at 6 pm. The 20,000 canceled accounts and 40,000 frozen accounts are disjoint sets. All freezes suspend billing and exclude the accounts from the current billable count. There are no new joins or other departures in this June 1-11 snapshot. Full-month June attrition, dues billed and collection rate have not yet closed; the current site and account statuses above are observed facts.

Emergency works order PLNT-WORK-0605 requires stabilization of the listed roofs and subsequent independent clearance. The minimum eight-week estimate starts June 4 and is not a promised reopening date. Lease schedules require aggregate \$0.72m monthly base rent at the twelve closed sites until September 30, without an agreed abatement. The estimate includes essential staffing, site protection and contractor payments during the shutdown.

Operating process review

The engineer's survey says the same connection detail appears in the twelve affected sites. The facilities register contains no earlier independent structural review of that shared detail. Monthly site reports before this survey recorded repairs by location without grouping this shared design. The operator halted access when the engineer's report was received; it has no agreed landlord or insurance payment for the resulting structural work.

E05 Funding constraints and dated forecast

The \$0.8m landlord receipt relates only to the prior completed repairs. It does not reimburse the new structural incident. For that incident, insurers and landlords have not accepted any recovery amount or cash payment date. Existing rent obligations continue. The forecast retains essential staffing and site-protection costs and assumes no unconfirmed insurance proceeds or rent forgiveness. Partial future reopening receipts are estimates, not evidence that the engineer has cleared a site.

Thirteen-week funding schedule - forecast, USD millions

Starting freely available cash is \$0.1800m as of 2027-06-11. Each period's receipts less scheduled payments are added to the prior funding position. Positive values indicate projected residual cash. Negative values indicate cumulative external funding needed to make all listed payments; they are not actual negative bank balances. No financing plug, new debt or uncommitted rescue proceeds are inserted.

Week ending	Expected receipts	Scheduled payments	Net funding position
2027-06-18	0.9500	2.0000	-0.8700
2027-06-25	0.2000	0.8000	-1.4700
2027-07-02	0.2000	0.9350	-2.2050
2027-07-09	0.2500	0.8000	-2.7550
2027-07-16	0.2500	0.8000	-3.3050
2027-07-23	0.3000	0.8000	-3.8050
2027-07-30	0.3000	0.9350	-4.4400
2027-08-06	0.3500	0.8000	-4.8900
2027-08-13	0.3500	0.8000	-5.3400
2027-08-20	0.4000	0.8000	-5.7400
2027-08-27	0.4000	0.8000	-6.1400
2027-09-03	0.4500	0.9350	-6.6250
2027-09-10	0.4500	0.8000	-6.9750

The forecast includes the June 15 payroll in the first week and later monthly interest in the budgeted payment weeks. A week-end total does not make the June 18 reimbursement available on June 15.

The first week includes \$0.15m ordinary collections plus the \$0.8m expected June 18 reimbursement. Payroll of \$1.2m is due three days earlier. Other budgeted payments include continuing rent, minimum staffing, site protection, required works and monthly interest. No June 30 actual balance or finalized June operating result is assumed.

The first forecast week includes the \$0.8m June 18 reimbursement once. Even including it, cumulative scheduled payments exceed available funds. If it is delayed beyond that week, the June 18 funding gap is \$0.8m larger.